

CREDIT SCORE IMPACT AND REPORTING POLICY

Department: Risk | Category: General Loan | Year: 2024 | CONFIDENTIAL

****BAJAJ FINANCE LIMITED********INTERNAL POLICY DOCUMENT********TITLE: CREDIT SCORE IMPACT AND REPORTING********EFFECTIVE DATE: 1st NOVEMBER 2023********1. PURPOSE****

This document outlines Bajaj Finance Limited's policy regarding credit score impact and reporting to credit bureaus, including the frequency of reporting and the impact of customer behaviour on credit scores.

****2. CREDIT BUREAUS REPORTING****

Bajaj Finance Limited reports customer credit information to the following credit bureaus:

- TransUnion CIBIL
- Experian India
- Equifax Credit Information Services Pvt. Ltd.

****3. REPORTING FREQUENCY****

Credit information is reported on a monthly basis. The reporting date for each month is the 10th, subject to changes in monthly operational schedules.

****4. IMPACT OF CUSTOMER BEHAVIOUR ON CREDIT SCORES****

- ****On-Time Payments:**** Timely payments positively impact the CIBIL score. Each month of on-time payment can improve the CIBIL score by up to +10 points.
- ****Late Payments:****
 - ****30-Day Late Payment:**** Can result in a negative impact of -25 points.
 - ****60-Day Late Payment:**** Can result in a negative impact of -50 points.
 - ****90-Day Late Payment:**** Can result in a negative impact of -75 points.
- ****Default/Settlement:**** A default or settlement can severely impact the credit score, resulting in a reduction of up to -100 points. This adverse effect may persist on the credit report for up to seven years.
- ****Loan Closure:**** Successfully closing a loan can have a positive impact on the credit score. A loan closure with no outstanding dues can improve the score by up to +20 points.

****5. HARD VS SOFT ENQUIRIES****

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- **Hard Enquiry:** Occurs when a lender checks a customer's credit report for lending decisions. This can impact the credit score marginally, usually by -5 to -10 points per enquiry.
- **Soft Enquiry:** Occurs when a customer checks their own credit score or when pre-approved offers are generated without affecting the credit score.

6. DISPUTE RESOLUTION PROCESS

Should a customer identify inaccuracies in their reported credit information, they may initiate a dispute resolution process by contacting Bajaj Finance Limited's Customer Service. The timeline for dispute resolution is as follows:

- **Acknowledgment:** Within 2 business days of receipt of the dispute.
- **Investigation and Resolution:** Completed within 30 business days.
- **Communication of Outcome:** Customers will be informed of the outcome within 5 business days following the resolution.

7. POLICY REVIEW

This policy is subject to annual review and may be amended based on regulatory changes and business requirements.

APPROVED BY:

Board of Directors

Bajaj Finance Limited

Date: 25th October 2023